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Public Comments on Amendments to Regulations Governing Service Contracts and NVOCC Service Arrangements.=====

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Comment Thank you for allowing the opportunity to comment Contract administration is resource-intensive for all parties, so we commend the FMC for attempting to streamline the process in partnership with stakeholders. Our comments relate to the definition of Affiliates and the timing of contract filing

Federal Maritime Commission
Office of the Secretary

In our view the definition of Affiliate in section 530 3 should be amended to reinforce the intent established in section 530 2, to wit An individual ocean common carrier or an agreement between or among ocean common carriers may enter into a service contract with one or more shippers subject to the requirements of the Act This section, along with the attached comments by former FMC Chairman Hon Harold Creel Jr. clearly show that the intent of the Act is to allow carriers and shippers without common ownership or control to contract separately or together Therefore the definition of affiliate in Section 530 3 should be clarified to confirm that shippers that are not under common control or ownership are allowed to contract together.

We support amending the regulations to allow the effective date of amendments to be before the filing date of the amendment and allowing any number of amendments to be consolidated into a single document filed within 30 days of the effective date of the earliest of all amendments consolidated The current amendment process does not move at the speed of modern commerce. We respectfully suggest the regulations require documented proof of prior agreement in electronic or paper form Furthermore, we respectfully request that the regulations provide for ad hoc adjustment of demurrage and detention free time for individual shipments to accommodate post-shipment incidents beyond shipper's control such as labor strife or severe weather incidents.

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Thank you for the opportunity to comment on these proposed changes to the regulations.

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In our view the definition of Affiliate in section 530.3 should be amended to reinforce the intent established in section 530.2, to wit: An individual ocean common carrier or an agreement between or among ocean common carriers may enter into a service contract with one or more shippers subject to the requirements of the Act. This section, along with the attached comments by former FMC Chairman Hon. Harold Creel Jr., clearly show that the intent of the Act is to allow carriers and shippers without common ownership or control to contract separately or together. Therefore the definition of affiliate in Section 530.3 should be clarified to confirm that shippers that are not under common control or ownership are allowed to contract together.

We support amending the regulations to allow the effective date of amendments to be before the filing date of the amendment and allowing any number of amendments to be consolidated into a single document filed within 30 days of the effective date of the earliest of all amendments consolidated. The current amendment process does not move at the speed of modern commerce. We respectfully suggest the regulations require documented proof of prior agreement in electronic or paper form. Furthermore, we respectfully request that the regulations provide for ad hoc adjustment of demurrage and detention free time for individual shipments to accommodate post-shipment incidents beyond shipper's control such as labor strife or severe weather incidents.

Thank you for the opportunity to comment on these proposed changes to the regulations.

Supplement to Cargill, Incorporated comments on FMC proposed rulemaking

Links with excerpts of comments where the Hon. Harold Creel Jr made clear that unaffiliated shippers may contract together without common ownership or control

http://www.fmc.gov/news/default.aspx?F_All=y&Archive=y&ArticleId=453

"Almost all of these contracts were between one shipper party and one carrier party Although OSRA permits two or more unaffiliated shippers to enter service contracts, we have observed little or no use of this authority "

http://www.fmc.gov/news/default.aspx?CategoryId=3&F_All=y&Archive=y&ArticleId=459

"Individual carriers have the right to negotiate and enter into contracts with shippers or groups of shippers, regardless of whether the carrier belongs to an agreement."

Furthermore, a comment as to why NVOCCs were intentionally regulated differently when NSA's were established

<http://www.marinelink.com/news/article/creel-addresses-transportation-management/316765.aspx>

NVOCCs are precluded from entering into NSAs with other NVOCCs or with shippers' associations that have NVOCCs as members. And, two or more NVOCCs cannot offer joint NSAs, unless they are corporate affiliates. The Commission chose not to permit NVOCCs to enter into NSAs with other NVOCCs or with shippers' associations that have NVOCC members because of concerns that a court might interpret section 7(a)(2) of the Shipping Act in such a way as to provide antitrust immunity to such arrangements. This decision was influenced by a Ninth Circuit decision relying on section 7(a)(4) and a more recent decision now before the Fourth Circuit.